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ECONOMIC SURVEYS BY THE OECD

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SWITZERLAND

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FEBRUARY 1964

ORGANISATION FOR ECONOMIC
CO-OPERATION AND DEVELOPMENT

PARIS

SWITZERLAND

BASIC STATISTICS

THE LAND

Area (thousand sq. km.)	41.3
Cultivated area (thousand sq. km.)	2.7
Grassland and pastures (thousand sq. km.)	19.0
Forest (thousand sq. km.)	9.8

Major cities, 1962 estimates (thousand inhabitants):

Zurich	444
Basle	211
Geneva	181
Berne	169
Lausanne	133

THE PEOPLE

Population in 1962 (thousand)	5,660
No. of inhabitants per sq. km. in 1962	137
Net annual rate of population increase, average 1955-62 (per thousand inhabitants)	8.0
Labour force, 1960 census (in percent of total population)	46.3
Agricultural labour force, 1960 census (in percent of total labour force)	11.6

Number of foreign workers (thousand):

— February 1963	407
— August 1963	690

Increase in the number of foreign workers, annual average 1955-63 (thousand):

— February census	43
— August census	52

PRODUCTION

Gross national product in 1962 (billions francs)	46.3
Gross national product per capita in 1962 (U.S. dollars)	1,894
Gross fixed investment in 1962 (in percent of G.N.P.)	30
Expenditure on construction, including public works in 1962 (billions francs)	8.2
Gross income of agriculture in 1962 (billions francs)	3.2

THE GOVERNMENT

Public consumption in 1962 (in percent of G.N.P.)	10
Public works in 1962 (in percent of G.N.P.)	5
Current public revenue in 1962 (in percent of G.N.P.)	17
Debt of the Confederation in 1962 (in percent of current revenue)	149

Composition of Parliament (percent):

	National Council	State Council
— Catholic conservatives	24	40
— Radicals democrats	26	32
— Socialists	26	5
— Agrarians and others	24	23

Last elections: 1963
Next elections: 1967

LIVING STANDARDS

Calories per head, per day, in 1961-62	3,258
Food expenditure in 1961 (in percent of total expenditure in worker families)	28
Average hourly earnings of unskilled workers in 1962 (francs)	3.81
Number of passenger cars in 1962 (per 1,000 inhabitants)	118
Number of telephones in 1962 (per 1,000 inhabitants)	331
Number of radio sets in 1962 (per 1,000 inhabitants)	274

FOREIGN TRADE

Exports of goods and services in 1962 (in percent of G.N.P.)	28
Main exports in 1962 (in percent of total exports):	
— manufactured goods	90
of which:	
machinery	29
watches	15
Imports of goods and services in 1962 (in percent of G.N.P.)	31
Main imports in 1962 (in percent of total imports):	
— food products	15
— machinery	16
— fuels	7

THE CURRENCY

Monetary unit: Swiss franc

Swiss francs per U.S. dollar: 4.32

ECONOMIC SURVEYS BY THE OECD

SWITZERLAND

ORGANISATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT

The Organisation for Economic Co-operation and Development was set up under a Convention signed in Paris on 14th December 1960 by the Member countries of the Organisation for European Economic Co-operation and by Canada and the United States. This Convention provides that the O.E.C.D. shall promote policies designed:

- *to achieve the highest sustainable economic growth and employment and a rising standard of living in Member countries, while maintaining financial stability, and thus to contribute to the development of the world economy;*
- *to contribute to sound economic expansion in Member as well as non-member countries in the process of economic development;*
- *to contribute to the expansion of world trade on a multilateral, non-discriminatory basis in accordance with international obligations.*

The legal personality possessed by the Organisation for European Economic Co-operation continues in the O.E.C.D., which came into being on 30th September 1961.

The Members of O.E.C.D. are: Austria, Belgium, Canada, Denmark, France, the Federal Republic of Germany, Greece, Iceland, Ireland, Italy, Luxembourg, the Netherlands, Norway, Portugal, Spain, Sweden, Switzerland, Turkey, the United Kingdom and the United States.

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in February 1964.

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SWITZERLAND

1. The Swiss economy has expanded strongly in recent years, with the real gross national product probably rising faster than in most other Member countries. The expansion slowed down in 1963, largely because of supply limitations. Although expenditure in certain areas, notably business fixed investment, rose less than earlier, the pressure of demand remained generally strong, with an increase in the current external deficit and a further rise in prices. In the first part of the year the pressure on resources was easing; but recent indicators suggest that demand became increasingly excessive in the autumn, with stronger pressure on prices, interest rates and the foreign balance. The new trends have led to a reconsideration of the policies so far applied to curb boom and proposals for new action have been put forward by the authorities.

2. The present report reviews current trends in the economy, discusses the main problems confronting the authorities, and considers the policies appropriate for dealing with them.

1. OUTPUT AND DEMAND

3. The real gross national product probably showed an increase of about 4 per cent in 1963, less than the 6.1 per cent achieved in the previous year. Output per employed rose approximately as fast as in 1962; but with a considerable shortage of labour, the increase in employment was much smaller than previously. Severe weather had an adverse impact on activity in the early months of the year.

4. Employment of foreign labour—the main source of new manpower in the Swiss economy in recent years—rose by 45,000 in 1963, less than half the increase in 1962, reflecting the decision of the Federal Council last March to restrict the issue of residence permits for foreign workers and difficulties in recruitment of new manpower. All main sectors reduced their foreign labour intake, but the decline was particularly marked in the hotel industry and certain branches of manufacturing. Within manufacturing, the development of total employment—Swiss and foreign—was far from uniform. Industries like

food, clothing and shoes enjoyed a substantially larger rise of employment than in the previous year; but the growth of employment came to a virtual standstill in the engineering industry and slowed down markedly in a number of other branches. The shortage of skilled workers remained acute and general. Enquiries conducted among industrial enterprises in the spring and summer had indicated some easing of the labour shortage, but this tendency was probably reversed in the autumn.

TABLE 1. EMPLOYMENT

	1962		1960	1961	1962	1963	
	TOTAL	FOREIGNERS				1st HALF	3rd QUARTER
	Thousands		*Percentage change of total employment over previous year*				
Manufacturing[1]	750	259	6.6	7.5	5.4	2.7	1.3
of which:							
Food, drink, tobacco	46	14	3.8	5.6	6.5	6.8	4.0
Textiles	70	32	6.6	2.5	1.1	1.1	0.9
Clothing and shoes	68	36	5.2	5.6	4.6	6.3	5.1
Metal and machinery	308	108	7.4	9.8	7.0	0.7	—1.3
Chemicals	33	6	6.2	5.3	—2.0	2.9	5.0
Watches and jewellery	66	6	7.3	7.2	4.0	2.4	0.5
Building and construction[1]		163[2]	7.0	10.2	8.9	2.4	2.3
Other selected activities[3]	..	..	..	..	4.0	3.2	2.4
of which:							
Handicraft[4]	..	..	..	..	4.5	2.6	1.5
Retail trade	..	..	..	..	6.1	4.9	4.0
Banks	..	..	..	..	7.2	5.8	4.1

1. The data relate to enterprises subject to the factory law.
2. Employment in August of foreign building workers subject to police control (175,000 end of August 1963).
3. In addition to activities listed, transport, insurances, whole sale trade, hotels and restaurants.
4. Includes mechanical and electrical workshops, garages, slaughter houses, butcheries, bakeries, horticulture, carpentry, plastering and painting firms.

Source: La Vie économique.

5. Employment data suggest that the rise of industrial production slowed down somewhat in 1963, owing, in an important measure, to a weaker trend in the capital goods industry, which was only partly offset by an acceleration of growth in important consumer goods branches. The behaviour of production was less divergent than suggested by employment data, however, since the productivity advance was no doubt relatively rapid in the capital goods sector. The shifts in output reflected changes in domestic and foreign demand,

although differences in the degree of restraint shown by individual industries in respect of their foreign worker intake may also have affected the picture.

6. The marked slowdown of the growth of employment in the hotel industry is also a combined consequence of growing difficulties in recruiting new labour and a less favourable course of demand. Throughout 1963 the total number of nights spent in Swiss hotels was slightly lower than in 1962, partly because of unfavourable weather conditions. Building activity was also adversely affected by the cold spell, and employment in the building industry rose less than previously, influenced by the shortage of labour. The 14 per cent decline in dwelling completions in towns of 10,000 or more inhabitants in the first nine months of 1963 as compared to the corresponding period of 1962 reflected, however, fewer completions in the spring and the summer; in January/February, nearly 20 per cent more dwellings were terminated than a year earlier, and the cold spell increased activity on repair and maintenance works.

7. Total demand for new building and construction remained vigorous in 1963 and far in excess of available building and construction resources. The previous year's downward trend in new licences issued for housing construction was reversed in the early spring of 1963. Industrial building also expanded relatively rapidly, although for the first time since 1958, the projects examined under the Factory Law fell below the level of a year earlier. The pressure on the building and construction sector was aggravated by the steep rise of public expenditure. The value of public building and construction works went up by one-fourth in 1962, and one-fifth more building was projected for 1963 than for the previous year. The corresponding figures for private building were 9 per cent and 8 per cent respectively.

8. The growth of investment in machinery and equipment moderated in 1963, at least in the early months of the year. The rise of machinery and equipment imports slowed down sharply and the decline in order backlogs in the Swiss engineering industry, observable since early 1962, continued. At the end of September, however, the average stock of orders still represented as much as 9.7 months' output, only one month less than at the peak in March 1962. An important element in the decline was the relatively weak trend of business fixed investment in a number of important markets for Swiss engineering exports. This was reflected by a less rapid increase of shipments of engineering goods than in 1962. The strengthening of foreign demand for Swiss consumer goods helped to keep the rate of growth of total exports high, but foreign demand appears on the whole to have constituted a less expansive force in the Swiss economy than in 1962.

9. Data on retail sales suggest that the previous year's growth of private consumption was roughly maintained in 1963, in spite of the

slower rise of employment. The increase in the retail sales index of 9 per cent in the first nine months of 1963 as compared to the same period of 1962 was slightly less strong than previously. But the smaller inflow of foreign tourists in 1963 and the more stable development of prices in the spring and the summer probably explain most of the difference. Demand for certain types of consumer durables, notably private motor vehicles, appears to have lost some of its strength. New registrations of passenger cars, which went up by 20 per cent between the first halves of 1961 and 1962, fell slightly in the first half of 1963 and registrations of other types of private motor vehicles dropped sharply.

TABLE 2. RETAIL SALES

Percentage change over the previous year.

	TOTAL	*Of which:*		
		FOOD, DRINK, TOBACCO	CLOTHING	OTHER
Values:				
1960	8.6	5.6	9.3	12.6
1961	11.1	9.9	8.8	15.2
1962	11.6	11.5	9.5	13.8
January-September	11.7	12.3	8.6	14.1
1963				
January-September	8.8	6.9	10.1	9.6
Values adjusted for price changes[1]*:*				
1960	7.2	4.3	7.8	10.7
1961	9.3	8.3	7.1	12.8
1962	6.7	5.5	7.0	10.1
January-September	6.4	5.5	6.1	10.8
1963:				
January-September	5.3	3.2	7.5	6.2

1. The adjustment was made on the basis of the consumer price indices for food, clothing and "other expenditure" (excluding rent, cleaning, light and heating). Total retail sales were deflated by an index in which these three indices were given weights of 63, 19 and 18 per cent respectively. These weights were taken from data on expenditure of wage and salary earning families.

Source: La Vie économique.

10. Demand is likely to remain strong in 1964. A steepening of the growth of export demand was already making itself felt last autumn, and there were signs that the rise of business fixed investment was accelerating. The worsened labour supply outlook is likely to discourage new investment for enlargement of plant but rationalisation investment may be speeded up. The rise in private consumption may also become stronger. If the efforts to further check the inflow

of foreign labour meet with success, the rise in total wage incomes can be expected to slow down somewhat. But the effect on consumer spending may be more than offset by the recently-decided increases of old age, surviving dependents' and disability pensions, which may add Fr. 700-800 million (2.5-3 per cent of private consumption) to consumer spending in the current year. Finally, public expenditure can be expected to continue its steep rise. The prospects are that overall demand will remain amply sufficient fully to employ available resources in the Swiss economy in 1964. Indeed, demand is likely to become increasingly excessive if the policy of halting the foreign labour inflow is pursued with determination, at least until the measures foreseen in other sectors have become effective.

II. PRICES AND WAGES

11. The price rise was rather more moderate in 1963. The rate of increase of the cost of living index slowed down after late 1962; but the most recent data (October/November) point to a reversal of that trend. The more stable price situation in the spring and summer can be attributed to the slower rise of food prices and rents, which toge-

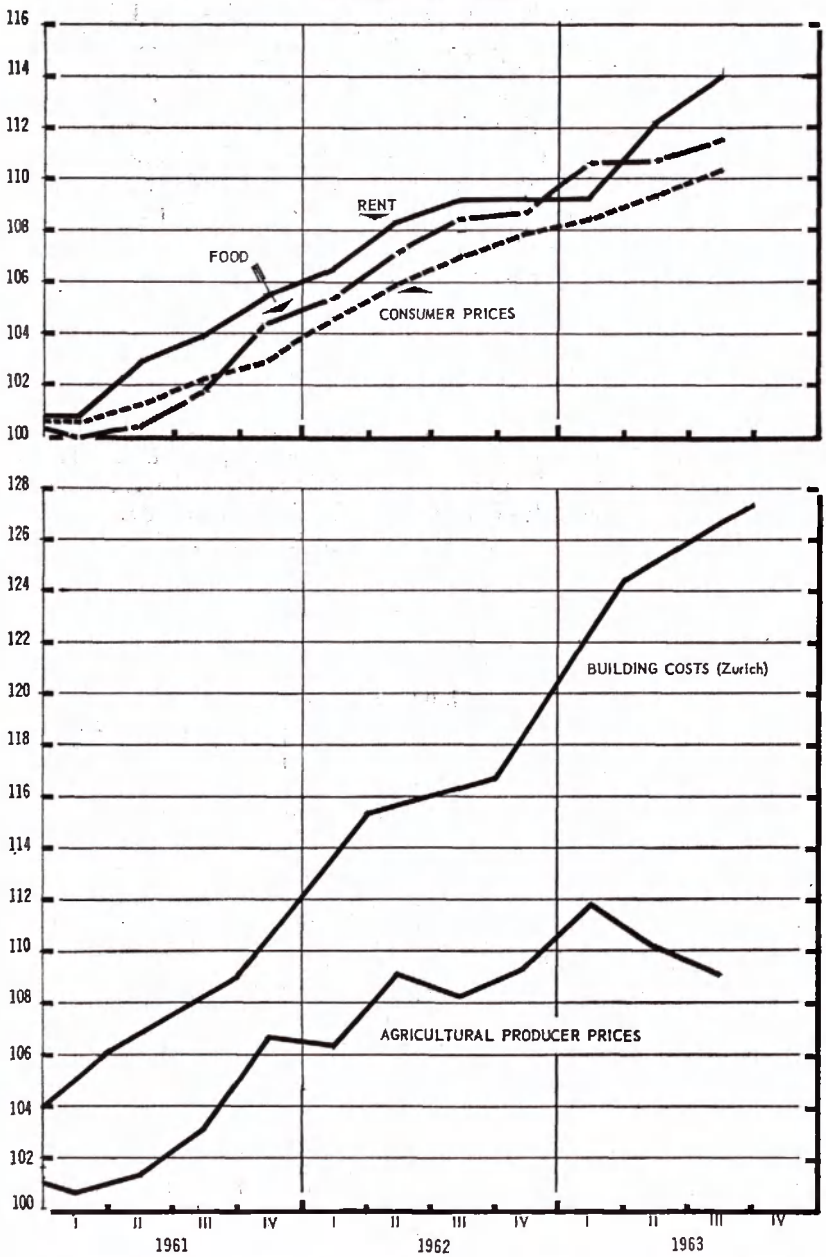
TABLE 3. THE COST OF LIVING

	1960	1961	1962	1963			
				1st QTR.	2nd QTR.	3rd QTR.	OCT.
	Percentage change over previous year						
TOTAL	1.4	1.9	4.3	3.7	3.2	3.1	3.8
Food	1.2	1.5	5.7	4.9	3.3	2.7	4.2
Rent	2.6	3.3	5.0	2.5	3.6	4.2	4.2
Other	1.2	1.7	2.6	2.7	2.8	3.0	3.1
of which: Heating and light	—0.8	0.6	1.8	1.8	3.4	4.0	3.7
Clothing	1.5	1.7	2.3	2.3	2.3	2.6	3.1
	Weighted contribution of individual components to the rise of the index						
Food	0.5	0.7	2.4	2.2	1.5	1.2	1.8
Rent	0.4	0.5	0.8	0.4	0.6	0.7	0.7
Other	0.5	0.7	1.1	1.1	1.1	1.2	1.3
of which: Heating and light	—0.1	0.0	0.1	0.1	0.2	0.2	0.2
Clothing	0.3	0.3	0.4	0.4	0.4	0.5	0.6

Source: Bulletin mensuel, Banque Nationale Suisse.

PRICES AND BUILDING COSTS

INDICES 1960 = 100



Source: Bulletin mensuel, Banque Nationale Suisse; Annuaire statistique de la Suisse.

ther carry a weight of 60 per cent in the Swiss index. The increase of other components combined became steeper in 1963. The wholesale price index (of food and basic materials) also went up less fast than in 1962, although the rise of the index accelerated in the autumn. The increase was less pronounced in domestic than in imported commodities—thus reversing the position in 1962, when the poor harvest caused a strong rise of agricultural prices. The steep upward movement of building prices has continued. In October the Zurich building cost index exceeded the level of a year earlier by 9 per cent, as against an increase over the year of 7 per cent in October 1962.

12. The supply-demand outlook does not give grounds for expecting an easing of price pressures in the near future. The behaviour of the indices of cost-of-living and wholesale prices will, however, in an important measure, depend on harvest conditions in agriculture and on the policy adopted in respect of farm incomes.

13. The stricter policy towards employment of foreign labour does not, as yet, seem to have greatly reinforced the wage rise. Wage rates in industry and building went up by 5.4 per cent between the first nine months of 1962 and 1963; this closely corresponds to the rise recorded between 1961 and 1962. Nor does the rise of average earnings appear to have much exceeded the 7 to 7.5 per cent recorded in 1962. The smaller increase of dependent employment in 1963 suggests that the preceding year's tendency for the growth of total income from dependent employment to slow down persisted in 1963. This tendency is likely to continue in the current year, although the deceleration of employment growth may be partly offset by a steeper rise of average wages and salaries. A shrinking foreign labour inflow will affect, first and foremost, wages in lower paid occupations, thereby reducing the gap between the pay for skilled and unskilled work. But there is also reason to expect that wages in general will come under greater pressure than hitherto.

TABLE 4. WAGES, SALARIES AND INCOME FROM DEPENDENT EMPLOYMENT

Percentage change from previous years.

	1961	1962	1963
Average hourly wages[1]	6.5	7.6	
Average monthly salaries[1]	5.1	6.6	
Wage rates in industry and building	4.4	5.9	6.0[2]
Total income from dependent employment	12.7	11.3	

1. Data relate to the month of October and cover industry, handicrafts, trade, banking, insurance and private transportation.
2. January-September.

Source: La Vie économique.

III. THE BALANCE OF PAYMENTS

14. The trade balance showed another large deficit in 1963. After some improvement in the early months of the year, the tendency towards a growing deficit reasserted itself. But the deterioration in 1963 as a whole was modest by comparison with that of the two preceding years. In 1961 and 1962 the trade deficit had exceeded that of the preceding year by $303 million and $136 million respectively; 1963 saw a deterioration of $331 million only.

15. The more stable development in 1963 was due largely to a more moderate rise of imports. The growth rate of imports fell from 20.7 per cent in 1961 to 11.5 per cent in 1962 and 7.7 per cent in 1963. In particular, the sharp drop of the growth of imports of machinery, instruments and automobiles helped to limit the rise of total imports in 1963. The slower expansion of food imports also contributed. Imports of textiles, clothing and shoes, in contrast, rose much faster than in 1962. The acceleration of growth of basic material imports in 1963 reflects largely the steeper rise in fuel imports. The cold spell in the early part of the year boosted demand for coal and fuel oil.

TABLE 5. MERCHANDISE TRADE

	PERCENTAGE DISTRIBUTION IN 1962	PERCENTAGE CHANGE FROM PREVIOUS YEAR		
		1961	1962	1963
Imports, total	100.0	20.7	11.5	7.7
of which:				
Food	13.3	8.0	14.2	5.8
Drinks and tobacco	3.0	9.3	7.0	13.2
Basic materials	25.3	11.8	— 0.3	7.2
Textiles, clothing, shoes	6.5	16.8	10.8	17.6
Chemicals, pharmaceuticals	5.3	12.5	6.2	5.6
Machinery, instruments	18.5	36.4	21.5	5.7
Automobiles	6.4	37.4	23.4	3.4
Other	21.7	33.9	16.8	9.3
Exports, total	100.0	8.5	8.6	9.0
of which:				
Food and tobacco	4.2	5.7	0.2	10.6
Textiles, clothing, shoes	11.8	3.6	4.7	5.8
Chemicals, pharmaceuticals	18.8	6.9	7.8	11.8
Machinery, instruments	53.5	10.3	9.4	6.3
of which: Watches	14.9	4.3	8.8	4.8
Other	38.6	12.9	9.7	6.9
Other	11.7	9.4	13.9	19.3

Source: Swiss Federal Administration.

In addition, the increase in customs duties on petrol in 1962 had inflated petrol imports in late 1961 and depressed them in the following year.

16. In 1963, exports rose by 9 per cent. This was a slightly higher growth rate than in the two preceding years and it surpassed that achieved by other Member countries, except Belgium and Denmark. The rise in shipments of machinery and instruments slowed down substantially. The export performance of the chemicals and pharmaceuticals industry on the other hand, was much more impressive than in the two preceding years. That of the textiles and shoe industry slightly improved. The growth of food exports, which had come to a halt in 1962, was steep in 1963.

17. According to provisional private estimates net invisible earnings, which were rising steadily throughout the 1950's, declined by $33 million, or by 7 per cent in 1963. The most important single factor responsible for the decline was the relatively unfavourable tourist season. Net receipts from tourism, after growing by some $30 million annually in recent years probably slightly contracted in 1963. The growth of net receipts on investment income continued. But, partly due to the extensive repatriation of Swiss foreign investment in the last couple of years, such receipts expanded much less in 1963 than in the previous year. At the same time the rise of payments on account of foreign workers' remittances was steep, although less steep than in 1961 and 1962. Last year's smaller foreign labour intake and the increasing tendency for foreign workers to spend a larger share of their earnings in Switzerland helped to moderate the growth of such payments.

18. Information on capital transactions is scarce. In 1962, net capital imports have been estimated at to $0.45 billion, covering a current account deficit of $0.34 billion and an increase of gold and foreign exchange reserves of $0.11 billion. The outflow of private capital has been estimated at $0.3 billion, leaving a gross inflow of capital from abroad of the order of $0.75 billion. According to preliminary private estimates the current balance of payments deficit rose to $0.39 billion in 1963. The net accumulation of official gold and foreign exchange reserves reached $204 million. The net inflow of capital from abroad may, therefore, have been of the order of $0.6 billion.

19. Part of it took the form of repatriation of Swiss capital invested abroad. Net Swiss purchasses of long-term securities in the United States declined sharply in 1963. The steep drop of short-term Swiss claims on United States banks partly reflected liquidation during the first six months of 1963 of the swap agreements concluded in the autumn of 1962, partly repatriation of short-term bank funds in response to tightening liquidity.

TABLE 6. THE BALANCE OF PAYMENTS

Million U.S. dollars.[1]

	1960	1961	1962	1963
Goods and services, net	95	—213	—340	
Merchandise, net	—353	—656	—792	—825
Imports c.i.f.	2,244	2,708	3,020	
Exports f.o.b.	1,891	2,052	2,228	
Services, net	448	443	452	
Transport, net	41	45	49	
Foreign travel, net	219	251	281	
Investment income, net	158	165	183	
Other services, net	30	—18	—61	
Capital transactions, net	169	651	454	
of which:				
Official long-term, net	—64	—81	..	
Foreign bonds issued in Switzerland, net	—130[2]	—200	—102	
Net purchases (—) of U.S. Government bonds and notes	32	11	0	
Net purchases (—) of other long-term securities in the United States	—165	—134	—137	
Change in Government and private short-term claims on United States banks	301	—137	—28	
Monetary gold and foreign exchange reserves, net increase (—)	—264	—438	—114	—204

1. At fixed exchange rate 1 U.S. $ = S.F. 4.3.
2. Gross issues.

Source: Balance of Payments Yearbook Vol. XIV, IMF —, United States Treasury Bulletin. Bulletin mensuel, Banque Nationale Suisse.

20. Movements of short-term foreign funds appear to have played a less important rôle in the first half of 1963 than in the two preceding years. In the second half, however, such movements were inflated inter alia by doubts about the stability of the Lira, political unrest in Italy, and the balance of payments measures taken in July by the United States authorities. There was a sizeable inflow of portfolio capital from Italy, caused partly by heavier taxation and the need to register securities held in that country. The bulk of these funds is, however, thought to have been re-invested outside Switzerland. Foreign purchases of Swiss real estate were probably less important than in previous years. Fifteen per cent of the applications made in 1962 under the law on acquisitions of real estate by non-residents were rejected. Foreign direct business investment in Switzerland probably continued on a high level; other forms of foreign long-term investment may have been discouraged by the Gentlemen's Agreement on foreign capital inflows.

21. As regards private capital exports from Switzerland, little is known beyond the fact, already noted above, that net foreign bond issues on the Swiss market were somewhat larger than in 1962. Official long-term capital exports remained modest. The Swiss authorities have made efforts to increase disbursements for technical assistance, and such efforts will continue to be made. The total of official development aid payments was, however, smaller in 1962/63 than in 1961. In the latter year Federal Government purchases of I.B.R.D. bonds and lending to developing countries approached $30 million. Net official financial contributions to development aid fell to less than $5 million in 1962 and may not have greatly exceeded that magnitude in 1963. Private Swiss investment in, and lending to, developing countries most probably increased, however.

IV. MONEY AND CAPITAL MARKETS

22. The slowing down of the expanding bank credit which began in 1962, continued in 1963. The new credit ceilings fixed in December under the agreement of April 1962, provided for permissible rates of increase in 1963 as a whole in relation to the increase in either 1961 or 1962, of 82 per cent for ordinary loans, of 108 per cent for mortgage loans. The agreement covers banks with a balance sheet total of Fr. 10 million or more. Statistics relating to 62 banks show that new credits secured by mortgages contracted in 1963 and were brought comfortably within the limits set under the agreement. Other bank loans expanded more than in 1962 but less than in 1961. The continued growth of these loans reflected, in an important measure, the larger demands for export credits and for the finance of inventory accumulation.

23. The rise of total bank deposits from non-banks accelerated in 1963, notably in the case of short-term deposits. At the end of September sight deposits from non-banks were 11 per cent larger than a year earlier, while the banks' cash reserves and other liquid holdings had gone up by only 7 per cent over the same period. The growth of longer term deposits also accelerated somewhat in 1963; it corresponded closely to the expansion of bank lending in the first nine months of the year. Sales of medium-term bonds, which in the past constituted an important source of bank funds, sharply contracted in 1963. In the first nine months of the year the volume of such sales was only one-fourth of its magnitude in the corresponding period of 1962. The decline was largely offset by issues of long-term bank bonds, which underwent more than a three-fold increase in 1963. This switch from medium to long-term bonds reflects the growing need for longer term funds and the difficulties encountered by the large banks in adjusting the yields offered on their medium-term

Table 7. SELECTED ASSETS AND LIABILITIES OF 62 BANKS

Fr. million.

	Outstanding	Increase or decrease			
	End 1962	1961	1962	January-September	
				1962	1963
Short-term:					
Cash	4,036	720	554	—72	—394
Sight deposits	12,491	1,731	1,110	656	907
Longer-term:					
Mortgage loans	19,873	1,514	1,650	1,126	992
Loans to public corporations	1,897	240	98	—7	201
Loans and advances	17,123	2,945	2,172	1,379	1,422
Savings deposits	12,458	1,009	1,051	701	713
Time deposits	10,650	1,343	1,615	1,044	1,354
Medium-term bonds	8,059	764	493	413	100
Long-term bonds	1,558	150	184	123	402

Source: Bulletin mensuel, Banque Nationale Suisse.

Table 8. NEW CAPITAL MARKET ISSUES

Fr. million.

	1961	1962	January-October	
			1962	1963
Gross issues, total	2,571.5	2,609.5	2,277.2	3,000.2
Domestic	1,611.3	1,954.5	1,707.2	2,531.5
Bonds for public subscription	1,023.4	1,124.1	981.9	1,828.2
Bonds without public subscription	215.3	168.8	125.1[1]	272.2[1]
Shares	372.6	661.6	600.2	431.1
Foreign bond issues	960.2	655.0	570.0	468.7
Net issues for public subscription	2,196.2	1,978,5	1,907.4	2,333.7
Domestic	1,336.0	1,538.6	1,544.7	1,912.2
Bonds	971.6	884.6	947.2	1,500.1
Shares	364.4	654.0	597.5	412.1
Foreign bond issues	860.2	439.9	362.7	421.5

1. January-September.

Source: Bulletin mensuel, Banque Nationale Suisse.

lssues sufficiently to make such issues attractive. Banks with a capital of Fr. 10 million or more are obliged to inform the National Bank of their intention to raise interest rates on their medium-term bonds, and the National Bank may request that the banks postpone or abstain from such alterations.

24. Capital market activity was buoyant in 1963. In the first ten months of the year new gross issues of bonds and domestic shares were nearly one-third larger than a year earlier. The increase was entirely accounted for by new Swiss bond issues, which almost doubled. Foreign issue activity in the Swiss market was smaller than in 1962 by nearly one-fifth. The disparity between domestic and foreign issues is reduced if allowance is made for repayments, which were heavy on Swiss bonds in 1963 and on foreign bonds in the previous year; in the first ten months of 1963 net Swiss bond issues in the domestic market exceeded the previous year's level by less than 60 per cent, and net foreign borrowing in the capital market showed an increase of 16 per cent. Substantially less capital was raised through Swiss equity issues than in 1962.

25. All main sectors, electric power plants apart, shared in the sharp increase of Swiss bond issue activity in 1963. The demands of the banking sector, which went up by only about one-tenth in 1962, became particularly heavy. Indeed, more than two-thirds of the Fr. 846 million increase of new issues of Swiss bonds between the first ten months of 1962 and the corresponding period of 1963 reflected issues of banks and mortgage institutions. Borrowing by public authorities again rose steeply, but less than in 1962. In the first ten months of 1963, new industrial bond issues were three times as large as a year earlier; but such issues remained of limited overall importance, accounting for only 7 per cent of total domestic bond issue activity. New industrial share issues dropped by one half in 1963, and other main sectors, electric power plants and banks excepted, raised substantially less funds in the Swiss equity market in 1963 than in the previous year. The decline of foreign borrowing in the Swiss market in 1963 reflected largely the fall of new issues of United Kingdom and German firms and the discontinuation of borrowing by United States firms and the I.B.R.D. France and some smaller O.E.C.D. countries, notably Norway, which were not in the Swiss market in 1962, or on a small scale only, raised large amounts of capital in that market in 1963.

26. The large demands on the Swiss capital market in 1963 reinforced the tendency towards rising interest rates, which had begun to assert itself on a modest scale in 1962. By mid-November the average yield on Federal bonds had risen to 3.46 per cent, a level not attained since the beginning of 1958. The fact that some of the new bond issues—including issues by banks, public authorities and power plants—which offered interest rates around 3.75 per cent were not

TABLE 9. NEW GROSS ISSUES FOR PUBLIC SUBSCRIPTION

Fr. million.

	1961	1962	JANUARY-OCTOBER	
			1962	1963
Swiss bonds:				
Public authorities	37	168	134	187
Power plants	338	367	367	308
Banks and mortgage institutes	390	432	393	962
Industry	159	65	35	130
Other	99	92	53	241
Total	1,023	1,124	982	1,828
Swiss shares:				
Power plants	13	11	11	32
Banks	169	137	131	169
Industry	145	320	313	156
Other	46	194	145	74
Total	373	662	600	431
Foreign bonds:				
Germany	80	130	130	100
France	18	40	40	131
United Kingdom	160	170	170	70
Other O.E.C.D.	482	215	130	168
Third Countries	120	—	—	—
International organisations	100	100	100	—
Total	960	655	570	469

Source: Bulletin mensuel, Banque Nationale Suisse.

fully absorbed, points further to the tighter conditions in the Swiss capital market. Mortgage rates were also brought under substantial pressure; and yields on new private mortgages were raised to 4 per cent. Mortgage rates charged by the 12 Cantonal banks, however, remained stable throughout 1963 at 3.75 per cent for both new and old mortgages.

V. ECONOMIC PROBLEMS AND POLICIES

27. In 1963, as in the previous year, considerable efforts were made to prevent an overheating of the boom. The problem of curbing the inflow of foreign capital and offsetting its effect on internal liquidities, remained in the fore. In the first half of the year the inflow was smaller and less erratic than in the two preceding years and did not give rise to new policy action. In fact, it was found possible to relax some of the measures taken earlier; the last extension in August of the Gentlemen's Agreement concluded between the National Bank

and the banks three years earlier, provided for the abolition of the 0.25 per cent quarterly commission charged on foreign deposits drawn before six months' duration. It was decided that the other terms of the agreement were to remain in force until the end of 1963.[1] The capital inflow gathered new strength in the second half of 1963, pointing to the need for the maintenance or some strengthening of existing policies designed to check and offset it.

28. As in the two previous years the National Bank entered into a number of swap transactions in 1963 in co-operation with foreign central banks, the Bank of International Settlements and Swiss commercial banks. Some of these transactions helped to absorb excess liquidity in the Swiss market, but their main aim, as far as internal liquidity was concerned, was to meet the liquidity requirements of Swiss banks connected with the presentation of their end-of-term balance sheets. The Federal Government's purchases of medium-term United States Treasury bonds denominated in Swiss francs, rose from $51 million in 1962 to $77 million in the first half of 1963. The policy in respect of private capital exports remained relatively liberal, although new foreign bond issues in the Swiss market, which had dropped sharply last year, had to be further curbed in 1963 to prevent an excessive rise of interest ratesy on the domestic market. New bank lending abroad requiring National Bank authorisation (loans exceeding Fr. 10 million) amounted to Fr. 0.2 billion in 1963, roughly the same magnitude as in the previous year.

29. In March, the Federal authorities decided to restrict the issue of foreign worker residence permits. In principle, new permits would be granted only for persons entering enterprises where total employment of Swiss and foreign workers did not exceed the peak in December 1962 or the average for the year 1962. The new rules are to remain in force till the end of February 1964. Although the foreign labour intake was smaller last year than in the previous year, some 45,000 persons were added to the foreign labour force in Switzerland in 1963. This suggests that a stricter policy is required if the Government's objective, which is to stop the growth of the foreign labour force in Switzerland, is to be attained.

30. The foreign labour share in the Swiss economy was of the order of 30 per cent in 1963. The new policy in respect of foreign workers resulted from widespread concern over the social and longer-term economic implications of this high share. But that policy will not, on its own, contribute greatly to solving the immediate economic policy problem, namely the over-heating of the boom. The transition

1. Under these terms the banks agreed to discontinue interest payments on non-residents deposits, except savings deposits of Fr. 20,000 or less, and to refuse non-resident deposits in excess of Fr. 50,000 for less than three months. Furthermore, they abstain from selling Swiss securities and real estate to non-residents and help to limit such transactions carried out through other channels.

to the new labour supply conditions may indeed aggravate the problem of maintaining internal stability. Although demand for housing and private consumption will be less inflated by foreign workers' spending than in the past and the rise of business investment may moderate, a cessation of imports of foreign labour is likely to further increase the imbalance between overall demand and supply, unless steps are taken to check the rise of demand. One likely consequence, at least in the short run, is an acceleration of the wage rise, particularly for unskilled workers. It is doubtful whether, in the short run, the improvement of productivity will be sufficient to match the wage increase. Rising wage costs may reinforce the trend of rising prices, except perhaps in the industrial sector where foreign competition is strong and profit margins relatively large.

31. It may be questioned whether, under these conditions, the policies currently in force will be adequate to secure a stable development of the Swiss economy in 1964. These policies rely on measures put into force in 1962 or in previous years, including the Gentlemen's Agreement on bank credit expansion, the partial freezing of the Federal Government budget surplus and sustained campaigns of exhortation conducted by the Federal Council and the National Bank for restraint in public and private building activity, pricing, wage and employment policies.

32. The task of monetary policy, with the limited means at the disposal of the monetary authorities, may be particularly difficult. Bank liquidity can be expected to increase fairly substantially in early 1964 as a result of the unwinding of important swap transactions. It is doubtful whether the Gentlemen's Agreement on bank lending is adequate to prevent this increase from producing a faster credit expansion. Easier liquidity conditions could also weaken the trend towards rising interest rates which might, if it continued, help to stem the growth of investment, particularly in building and construction. It may therefore be necessary to introduce a new legal basis for credit restraint and to provide the monetary authorities with the policy instruments which would enable them to play a more active and effective rôle in the management of demand.

33. In the budgetary field there is also need for greater flexibility, although a mere restraint on public spending could go a long way to solve the more immediate problem facing the Swiss economy. The Federal Budget for 1963—a year of low yield of the Federal defence tax—foresaw a relatively modest (5 per cent) expansion of expenditure.[1]

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1. The defense tax is the only direct tax, the proceeds of which accrue mainly to the Confederation. It is an annual tax on private and corporate income and corporate property. It is assessed over a period of two years. A taxpayer choosing to pay the two instalments in the first year enjoys a 3 per cent reduction on the tax due in the second year. About two-thirds of the tax liability for the two-year period is normally received in the first year.

TABLE 10. THE FEDERAL GOVERNMENT BUDGET

Fr. million.

	1961 closed acc.	1962 closed acc.	1963 budget for.	1964 budget for.
Receipts	3,406	4,116	3,886	4,877
Direct taxes	452	867	535	1,014
Indirect taxes and customs duties	2,526	2,761	2,898	3,156
Income from property and entrepreneurship	218	264	236	259
Other receipts	210	224	217	448
of which: Repayment of loans	(33)	(32)	(29)	(247)
Expenditure	3,267	3,684	3,849	4,434
Military:	1,096	1,264	1,254	1,491
Subsidies	10	12	7	7
Social security	35	38	39	45
Investment	617	742	716	895
Other consumption	434	472	492	544
Other expenditure :	2,171	2,420	2,595	2,943
Subsidies	727	745	918	1,039
Social security	161	161	171	182
Contribution to cantons	120	232	139	269
Interest on public debt	210	208	204	212
Investment	314	630	617	646
Loans	244	18	50	73
Consumption	395	426	496	522
Overall budget surplus (excl. debt repayments)[1]	139	432	37	443
Net change in non-monetary assets[2]	189	53	345	— 159
Net real and financial saving	328	485	382	284
Debt repayments	207	256	—	—
Change in cash balances	203	— 287	—	—
Other assets/liabilities	874	516	—	—

1. Surplus on the « Compte financier ».
2. Surplus or deficit (—) on the « Compte des variations de la fortune ».

Source: Swiss Federal Administration.

But the overall budget surplus, which has ranged between Fr. 100-700 million in the past ten years, is expected to fall to Fr. 37 million. Data relating to the first nine months of 1963 suggest, however, that receipts have risen much faster than budgeted. The 1964 budget provides for a rise of expenditure by fully 15 per cent, part of which is accounted for by larger spending on road construction to be financed by petrol taxes. The budget was voted with an overall surplus of Fr. 443 million, which is roughly of the magnitude achieved in 1962. But more than one half of it results from foreign reimbursements of debts to the Federal Government. Up-to-date information

on cantonal and communal finances is not available. Data on building completions and projects suggest that spending by those authorities contributed substantially to the strains in the Swiss economy in 1963, and will continue to do so in the current year.

34. The continued sharp rise of public spending for building and construction is particularly serious in view of the fact that the tighter foreign labour policy is likely to affect supply conditions, especially in building and construction, which depend heavily on foreign labour. The reversal of the downward trend in licences issued for housing construction in 1963 point to a steady growth of demand for housing in the current year. Commercial and miscellaneous building is likely to expand rapidly. The growth of industrial building may moderate in response to the new labour market conditions and greater concentration on capital deepening investment. But it is unlikely to offset the pressure of demand emanating from other sectors. To prevent a further deterioration of conditions in the building and construction market, therefore, stricter policies would appear essential. In particular, it is desirable to check public construction activity and eliminate various types of non-essential building.

35. Policies aiming at improving labour mobility will also need to be strengthened to cushion the impact of the new labour supply situation on output and prices. The contraction of the agricultural labour force has been quite substantial in postwar years. In the 1950's alone, the population occupied in agriculture fell by more than one-fifth and its share in the total active population declined from 16.5 per cent to 11 per cent. The outflow of manpower from agriculture is likely to continue, thereby easing labour shortages elsewhere in the economy. But the aim of Government agricultural policies is to maintain a national food basis sufficient to meet Switzerland's needs in disturbed periods. Such a policy has of course, the economic effect of moderating somewhat the shift of agricultural labour into higher productivity occupations, even if it does not directly pursue that purpose.

36. There will be need to start thinking in terms of an incomes policy to cope with problems related to the movement and distribution of income, which are likely to assert themselves to a greater extent than in the past.

VI. CONCLUSIONS

37. The main conclusions of this survey may be summarised as follows:

a) Economic activity expanded by more than 4 per cent in 1963, importantly aided by heavy drawings on foreign labour,

foreign capital and foreign goods. By further aggravating the already marked imbalance of her current external accounts, Switzerland was able to alleviate the pressure of excess demand on prices, wages and interest rates in the first half of the year. In the autumn such pressures became stronger again. Prospects for 1964 point to a strengthening, rather than a weakening, of inflationary pressures.

b) The need for stronger measures to restrict the growth of demand has been reinforced by the stricter policy adopted with respect to the inflow of foreign labour; on balance, a reduced inflow is likely to aggravate the imbalance between supply and demand, and to lead to stronger pressure on wages.

c) Experience suggests that a strengthening of the type of measures currently applied, based to a large extent on voluntary self-discipline is unlikely to be sufficient to cope with the situation. Stronger action may be needed, requiring new policy instruments in the monetary and fiscal fields; and more efficient measures to restrict building and construction activity are clearly desirable. The change in the labour supply conditions also points to the need for starting to prepare the ground for an incomes policy. It will also affect policies pursued in the agricultural field.

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STATISTICAL ANNEX

TABLE I. GROSS NATIONAL PRODUCT AND EXPENDITURE

Sw. Fr. million at current prices.

	1960	1961	1962
Consumers' expenditure on goods and services	22,865	25,515	28,350
Government current expenditure on goods and services	3,810	4,105	4,855
Current expenditure of social insurance	155	165	195
Gross domestic asset formation	9,340	12,260	13,770
Exports of goods and services, including income payments from abroad	11,880	12,990	14,140
less: Imports of goods and services, including income payments to abroad	11,270	13,520	14,970
Gross national product at market prices	36,780	41,515	46,340
Income payments to abroad	535	575	625
less: Income payments from abroad	920	950	1,025
Gross domestic product at market prices	36,395	41,140	45,940

Source: La Vie économique, December 1963.

TABLE II. DISTRIBUTION OF NATIONAL INCOME

Sw. Fr. million at current prices.

	1960	1961	1962
Income from employment	18,990	21,410	23,840
Wages and salaries	17,095	19,340	21,480
Employers' contributions to social insurance	1,805	1,975	2,255
Pay and allowance of Armed Forces	90	95	105
Income from self-employment	5,800	6,400	7,000
Agriculture	1,500	1,600	1,790
Industry, handicrafts	2,250	2,590	2,820
Commerce, banking, insurance	980	1,070	1,160
Hotels, restaurants, transports	530	570	630
Other services	540	570	600
Income from property of households, net	3,085	3,285	3,580
Interest	1,255	1,375	1,510
Rent	960	1,005	1,065
Dividends	920	960	1,070
Less: Interest on consumers' debts	50	55	65
Corporate savings	1,620	1,760	1,880
Direct taxes on corporations	640	750	960
Government income from property and entrepreneurship, including savings of public enterprises	1,060	1,120	1,155
Less: Interest on public debts	550	560	585
Social insurance institutions' income from property and entrepreneurship	700	775	860
National income at factor cost	31,345	34,940	38,690
Indirect taxes	2,590	3,015	3,290
Less: Subsidies	355	400	420
Net national product at market prices	33,580	37,555	41,560

Source: La Vie économique, December 1963.

TABLE III. GROSS ASSET FORMATION AND ITS FINANCING

Sw. Fr. million at current prices.

	1960	1961	1962
Building and construction, total	5,810	7,190	8,165
General government:			
Roads	352	492	741
Other construction	458	499	566
Building	635	725	866
Private:			
Dwellings	2,543	3,061	3,226
Industry	1,360	1,888	2,177
Electric power plants	407	450	402
Private railways	27	35	46
Other	28	40	141
Machinery and equipment, total	2,580	3,720	4,645
Gross fixed asset formation	8,390	10,910	12,810
Change in stock	950	1,350	960
Net lending to abroad	260	—1,085	—1,580
Total gross asset formation	9,600	11,175	12,190
Government savings	1,530	1,780	2,020
Savings of social insurance	1,855	1,950	2,160
Savings of public enterprises	240	245	210
Savings of private enterprises	1,620	1,760	1,880
Depreciation	3,200	3,960	4,780
Savings of households and non-profit making institutions	1,130	1,455	1,115
Net receipts from unilateral transfers from abroad	25	25	25
Total	9,600	11,175	12,190

Source: La Vie économique, December 1963.

TABLE IV. BUILDING AND CONSTRUCTION ACTIVITY

	1960	1961	1962	1963
Public building and construction *(fr. billion):*				
Actual	1,7	2.0	2.5	
Projected	2.2	2.6	3.2	3.9
Private building and construction *(fr. billion):*				
Actual	4.4	5.5	6.0	
Projected	4.2	5.5	7.0	7.6
Number of dwellings constructed in 65 towns	23,043	23,988	23,672	20,169
Permits for dwelling construction issued in 65 towns	31,815	28,773	25,905	26,320
Industrial building projects examined under the Factory Law	3,366	3,886	4,254	4,148

Source: La Vie économique.

Table V. EMPLOYMENT IN MINING AND MANUFACTURING[1]

	Number of establishments		Total employment		*of which:* foreigners	
	September		September		September	
	1962	1963	1962	1963	1962	1963
Mining and quarrying	8	8	425	447	109	125
Manufacturing	12,383	12,942	711,764	722,980	251,503	267,658
Food, drink, tobacco	797	817	45,368	47,402	14,088	16,552
Textiles	969	958	70,302	68,922	31,677	32,938
Clothing, leather, shoes	1,544	1,575	67,704	69,385	36,436	39,941
Wood and cork	1,608	1,699	40,278	41,141	14,756	15,388
Paper and graphic arts	1,107	1,152	56,673	58,046	13,563	15,292
Rubber and plastics	185	214	9,367	9,725	3,796	4,087
Chemicals and petroleum	407	423	32,276	36,289	5,578	6,612
Stones and earth	505	536	26,125	26,993	12,570	13,544
Basic metals and metal products	1,601	1,691	100,199	98,999	38,501	38,980
Machinery and electrical apparatus	1,931	2,105	177,486	180,242	62,192	64,381
Precision and mechanical apparatus and medical instruments	274	294	14,904	15,662	5,065	5,708
Watches, jewellery, metals and coins	1,362	1,389	67,093	66,166	11,859	12,738
Other	93	89	3,989	4,008	1,422	1,497

1. Wage and salary earners subject to the Factory Law.

Source: La Vie économique.

Table VI. THE FOREIGN LABOUR FORCE

	1960		1961		1962		1963	
	Febr.	August	Febr.	August	Febr.	August	Febr.	August
Total	275,291	435,476	348,941	548,312	445,610	644,706	512,412	690,013
By professions:								
Agriculture, forestry and fishing	13,079	29,207	11,091	26,147	10,331	24,053	9,207	21,804
Mining and quarrying	222	1,760	488	1,076	653	1,446	754	1,354
Manufacturing	129,481	165,573	181,089	230,157	243,836	287,564	287,704	313,469
Building and construction	20,537	107,028	31,536	142,265	44,906	162,788	52,290	175,126
Commerce and administration	8,434	10,216	11,941	14,800	17,407	20,213	22,490	24,224
Hotels and restaurants	49,454	62,266	52,994	66,905	59,095	71,130	63,040	72,795
Transports and communications	875	1,213	1,302	1,897	2,203	3,290	3,635	4,246
Liberal and technical professions	16,328	18,134	19,683	21,894	23,124	25,803	27,106	28,849
Domestic service	29,426	30,298	28,445	29,061	27,958	28,827	26,172	27,056
Other	7,455	9,781	10,372	14,110	16,097	19,592	20,014	21,090
By nationality:								
Italian	158,773	303,090	214,036	392,060	285,155	454,402	323,148	472,052
German	65,954	72,365	68,835	73,466	72,103	77,678	74,883	78,389
Austrian	28,637	31,604	29,189	30,152	27,635	29,001	26,340	27,879
French	9,898	11,932	13,691	16,163	16,927	18,730	20,524	21,166
Other	12,029	16,485	23,190	36,471	43,790	64,895	67,517	90,527
By sex:								
Men	149,589	288,351	204,530	374,783	271,405	443,061	321,418	480,609
Women	125,702	147,125	144,411	173,529	174,205	201,645	190,994	209,404

Source: La Vie économique.

TABLE VII. LABOUR MARKET AND WORKING TIME

	1960	1961	1962				1963			
			1st QTR	2nd QTR	3rd QTR	4th QTR	1st QTR	2nd QTR	3rd QTR	4th QTR
Labour market (monthly averages)										
Job applicants	1,690	975	1,391	449	387	1,101	2,772	388	305	592
of which: wholly unemployed	1,227	647	1,094	219	187	898	2,508	225	154	412
Vacancies	6,393	6,349	6,066	6,451	6,202	5,214	5,608	6,310	6,716	5,868
Working time										
Average weekly hours per worker in:										
Manufacturing	46.1	45.8	45.6	45.6	45.7	45.6	45.5	45.5	45.5	
Building	48.1	47.9	47.6	48.0	48.1	45.1	47.8	48.2	48.3	
Average hours approved overtime work in manufacturing (1,000)	1,284.1	1,506.3	1,461.9	1,388.3	1,549.2	1,364.1	1,306.2	1,334.4	1,596.3	

Source: General Statistics, O.E.C.D. and La Vie économique.

TABLE VIII. FOREIGN TRADE BY AREA *Monthly averages, million U.S. $.*

	IMPORTS C.I.F.					EXPORTS F.O.B.				
	1960	1961	1962	Jan.-Sept.		1960	1961	1962	Jan.-Sept.	
				1962	1963				1962	1963
O.E.C.D. countries	161.89	196.42	221.26	220.66	235.27	111.90	121.52	134.95	129.47	140.85
E.E.C. countries	113.68	140.52	157.92	156.83	172.07	64.23	70.57	77.49	74.45	81.40
E.F.T.A. countries	21.24	27.00	32.51	32.19	35.45	25.01	27.42	30.92	29.65	32.13
Other Europe	2.50	2.75	3.40	2.98	2.90	4.27	4.93	6.05	5.72	7.10
North America	24.47	26.15	27.43	28.66	24.85	18.39	18.60	20.49	19.65	20.22
Non-O.E.C.D. countries	24.32	28.25	28.93	28.47	30.08	45.04	48.70	49.65	47.91	50.66
Eastern Europe	4.04	5.14	4.86	4.75	4.74	5.12	5.41	4.85	4.45	4.90
Other Europe	0.87	1.48	1.26	1.22	1.41	3.42	3.28	3.62	3.36	4.17
Africa	4.85	6.14	5.03	5.13	5.65	5.73	6.09	6.60	6.38	6.77
America	7.20	7.60	8.75	8.87	9.08	12.10	13.39	13.20	13.19	12.23
Asia and Oceania	7.36	7.89	9.03	8.50	9.20	18.67	20.53	21.38	20.53	22.59
Total	186.21	224.67	250.19	249.13	265.35	156.94	170.22	184.60	177.38	191.51

Source: Foreign Trade, Series A, O.E.C.D.

Table IX. FOREIGN TRADE BY COMMODITIES

Million U.S. $.

	IMPORTS C.I.F.					EXPORTS F.O.B.				
	1960	1961	1962	JAN.-JUNE		1960	1961	1962	JAN.-JUNE	
				1962	1963				1962	1963
S.I.T.C. Sections, total	2,234.5	2,696.0	3,002.3	1,500.3	1,567.2	1,883.3	2,042.6	2,215.2	1,056.3	1,141.4
0. Food and live animals	327.1	350.1	395.9	184.1	196.3	91.5	93.8	93.9	41.0	46.1
1. Beverage and tobacco	51.1	57.4	65.4	31.8	35.1	11.8	15.1	19.3	8.6	11.4
2. Crude materials, inedible except fuels	207.9	240.1	235.1	120.3	119.3	35.8	39.2	42.5	20.9	25.9
3. Mineral fuels, lubricants and related materials	184.9	185.0	201.1	89.8	126.1	0.7	0.8	1.1	0.5	0.6
4. Animal and vegetable oils and fat	14.6	16.2	16.3	7.8	7.6	2.2	2.3	2.0	0.9	1.0
5. Chemicals	208.5	231.3	245.6	119.5	121.9	364.1	389.4	419.0	208.7	226.3
6. Manufactured goods, classified chiefly by materials	553.1	699.5	728.8	366.4	362.1	353.8	366.5	385.8	191.5	199.0
7. Machinery and transport equipment	467.2	638.7	800.1	433.7	432.3	554.1	637.1	697.6	330.7	365.0
8. Miscellaneous manufactured articles	213.4	266.8	304.5	141.7	161.7	460.3	492.4	543.0	248.4	259.7
9. Commodities and transactions not classified	6.7	10.9	9.5	5.2	4.8	8.9	6.0	11.0	5.1	6.4

Source: Foreign Trade, Series B, O.E.C.D. (revised figures).

Table X. MONEY, CAPITAL AND SHARE MARKETS

End of period, million francs and percentage.

	UNIT	1960	1961	1962	1963		
					MARCH	JUNE	SEPT.
Official discount rate	*Per cent*	2.00	2.00	2.00	2.00	2.00	2.00
Cash bond rate (5 large banks)	—	3.34	3.27	3.39	3.39	3.39	3.64
Interest rate on savings deposits (12 Cantonal Banks)	—	2.71	2.73	2.75	2.77	2.77	2.77
Mortgage rate (new first rank mortgages, 12 Cantonal banks)	—	3.76	3.76	3.76	3.76	3.76	3.76
Yield to redemption on Federal bonds	—	3.02	2.98	3.12	3.10	3.15	3.33
Money supply, total	*Million francs*	19,262	22,176	24,662	23,858	24,503	24,972
of which:							
Note circulation	—	6,854	7,656	8,506	8,010	8,181	8,285
Sight deposits of 62 banks	—	9,650	11,381	12,491	12,768	13,122	13,398
Deposits on postal cheque accounts	—	2,268	2,643	3,140	2,555	2,675	2,764
Gold and foreign exchange reserves of the National Bank	—	10,038	11,920	12,411	11,399	11,702	11,671
of which : Gold	—	9,455	11,078	11,543	10,651	10,949	10,822
Gold cover for note circulation and sight deposits with the National Bank	*Per cent*	98.4	104.5	102.1	103.1	104.9	104.4
Current balances of the banks with the National Bank	*Million francs*	2,288[1]	1,996	2,294	2,115	2,030	1,889
Time and savings deposits (62 banks)	—	18,089	20,441	23,108	24,247	24,567	25,175
Loans and advances (62 banks)	—	13,564	16,750	19,020	19,078	19,989	20,643
Mortgage credits (62 banks)	—	16,709	18,224	19,873	20,167	20,534	20,866
Index of total share prices	*In per cent of the nominal value*	802	1,139	835	795	809	832
Index of industrial share prices		1,068	1,528	1,076	1,035	1,052	1,083

1. Assets of foreign banks included.

Source: Bulletin mensuel, Banque Nationale Suisse.

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